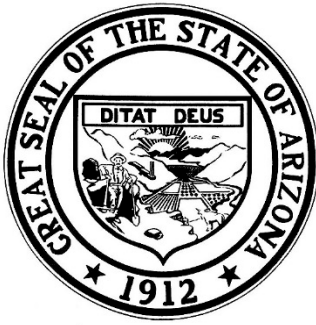




Bill Number: H.B. 2096

Shope ADD COW Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Requires, a county to coordinate with the Arizona Department of Environmental Quality (ADEQ) to ensure that each project that has received financial assistance, including forgivable principal, is consistent with either the county's water quality management plan or ADEQ's nonpoint source management plan, rather than only the county's water quality management plan.
2. Modifies the definition of *nonpoint source project* to include Arizona's nonpoint source management plan developed pursuant to the Clean Water Act and approved by the U.S. Environmental Protection Agency.
3. Defines *Clean Water Act* as the Federal Water Pollution Control Act Amendments of 1972, as amended by the Water Quality Act of 1987.
4. Makes conforming changes.

ADDITIONAL COW
SHOPE FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2096
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 11-671, Arizona Revised Statutes, is amended to
3 read:

4 11-671. Financing wastewater treatment facilities and
5 nonpoint source projects; financial assistance loan
6 repayment agreements; financial assistance;
7 definitions

8 A. Notwithstanding any other law, a county THAT IS authorized to
9 operate a sewage system pursuant to section 11-264 OR THAT IDENTIFIES AND
10 REMIEDIATES A CESSPOOL PURSUANT TO SUBSECTION G OF THIS SECTION may
11 construct or improve a wastewater treatment facility or nonpoint source
12 project with monies borrowed from or financial assistance provided by the
13 water infrastructure finance authority of Arizona.

14 B. To repay financial assistance from the water infrastructure
15 finance authority of Arizona, a county may enter into a financial
16 assistance loan repayment agreement with the authority. A financial
17 assistance loan repayment agreement is payable from any revenues otherwise
18 authorized by law to be used to pay long-term obligations. If revenue
19 from a property tax assessment is the designated source of repayment under
20 the agreement, the property tax assessed and levied is a secondary
21 property tax levy for THE purposes of article IX, Constitution of Arizona.

22 C. The county board of supervisors shall submit the question of
23 entering and performing a financial assistance loan repayment agreement to
24 the qualified electors voting at a regular or special general election in
25 the county, except that if revenue from a secondary property tax levy is
26 the designated source of repayment or if the project is constructed with
27 an improvement district, the question shall be submitted to the qualified
28 electors at an election held on the first Tuesday following the first

1 Monday in November. Otherwise, an election is not required if voter
2 approval has previously been obtained for substantially the same project
3 with another funding source. If a majority of the qualified electors
4 voting on the question:

5 1. Approves, the board of supervisors may execute, deliver and
6 perform the financial assistance loan repayment agreement.

7 2. Disapproves, the board of supervisors shall not execute a
8 financial assistance loan repayment agreement.

9 D. Payments made pursuant to a financial assistance loan repayment
10 agreement are not subject to section 42-17106.

11 E. A financial assistance loan repayment agreement entered into
12 pursuant to this section shall contain the covenants and conditions
13 pertaining to the construction of a wastewater treatment facility or
14 nonpoint source project and repayment of the loan as the water
15 infrastructure finance authority of Arizona deems proper. Financial
16 assistance loan repayment agreements may provide for the payment of
17 interest on the unpaid principal balance of such agreement at the rates
18 established in the agreement. The agreement may also provide for payment
19 of the county's proportionate share of the expenses of administering the
20 clean water revolving fund established by section 49-1221 and may provide
21 that the county pay financing and loan administration fees approved by the
22 water infrastructure finance authority OF ARIZONA. These costs may be
23 included in the levy or assessment amounts pledged to repay the financial
24 assistance. Counties are bound by and shall fully perform the FINANCIAL
25 ASSISTANCE loan repayment agreements, and the agreements are incontestable
26 after the loan is funded by the water infrastructure finance authority of
27 Arizona. The county shall also agree to pay the authority's costs in
28 issuing bonds or otherwise borrowing to fund a loan.

29 F. A financial assistance loan repayment agreement under this
30 section does not create a debt of the county, and the authority shall not
31 require that payment of a financial assistance loan agreement be made from
32 other than those sources ~~permitted~~ ALLOWED in subsection B of this
33 section.

34 G. A COUNTY MAY APPLY FOR AND RECEIVE FINANCIAL ASSISTANCE,
35 INCLUDING FORGIVABLE PRINCIPAL, FROM THE WATER INFRASTRUCTURE FINANCE
36 AUTHORITY OF ARIZONA FOR THE REMEDIATION, CLOSURE OR REPLACEMENT OF
37 CESSPOOLS THAT PRESENT A DEMONSTRATED RISK TO SURFACE WATER, GROUNDWATER
38 OR PUBLIC HEALTH. THE WATER INFRASTRUCTURE FINANCE AUTHORITY OF ARIZONA
39 MAY AWARD FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, USING
40 MONIES FROM THE CLEAN WATER REVOLVING FUND ESTABLISHED BY SECTION 49-1221
41 OR THE DRINKING WATER REVOLVING FUND ESTABLISHED BY SECTION 49-1241.
42 FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, RECEIVED PURSUANT TO
43 THIS SUBSECTION MAY BE USED ONLY FOR PROJECTS THAT ELIMINATE EXISTING
44 CESSPOOLS AND REPLACE THE EXISTING CESSPOOL WITH AN ON-SITE WASTEWATER
45 SYSTEM THAT IS APPROVED BY THE DEPARTMENT OF ENVIRONMENTAL QUALITY OR THAT

1 HAS A CONNECTION TO A WASTEWATER TREATMENT FACILITY. A COUNTY THAT
2 RECEIVES FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, PURSUANT TO
3 THIS SUBSECTION SHALL PRIORITIZE THE REMEDIATION, CLOSURE OR REPLACEMENT
4 OF CESSPOOLS THAT ARE LOCATED WITHIN AREAS OF KNOWN GROUNDWATER
5 VULNERABILITY, THAT ARE NEAR SURFACE WATERS OR THAT ARE IN COMMUNITIES
6 WITH LOW-TO-MODERATE INCOME HOUSEHOLDS. A COUNTY MAY ESTABLISH
7 INCOME-BASED ELIGIBILITY CRITERIA FOR OWNER-OCCUPIED PROPERTIES BUT MAY
8 NOT APPLY MEANS TESTING TO THE REMEDIATION OF ABANDONED OR UNINHABITABLE
9 PROPERTIES. A COUNTY SHALL COORDINATE WITH THE DEPARTMENT OF
10 ENVIRONMENTAL QUALITY TO ENSURE THAT EACH PROJECT THAT HAS RECEIVED
11 FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, PURSUANT TO THIS
12 SUBSECTION IS CONSISTENT WITH THE COUNTY'S WATER QUALITY MANAGEMENT PLAN
13 [OR THE DEPARTMENT OF ENVIRONMENT QUALITY'S NONPOINT SOURCE MANAGEMENT
14 PLAN DEVELOPED PURSUANT TO SECTION 319 OF THE CLEAN WATER ACT]. A COUNTY
15 THAT RECEIVES FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL,
16 PURSUANT TO THIS SUBSECTION IS NOT REQUIRED TO OBTAIN VOTER APPROVAL TO
17 ACCEPT THE FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL.

18 ~~H.~~ H. A county may employ attorneys, accountants, financial
19 consultants and ~~such~~ other experts in their field as deemed necessary to
20 perform services with respect to the financial assistance loan repayment
21 agreement.

22 ~~H.~~ I. This section is supplemental and alternative to any other
23 law under which a county may borrow ~~money~~ MONIES or issue bonds. This
24 section ~~shall~~ IS not ~~be construed as~~ the exclusive authorization to enter
25 into loan agreements with the authority.

26 ~~I.~~ J. A county may borrow additional monies or enter into
27 additional financial assistance loan repayment agreements with the water
28 infrastructure finance authority OF ARIZONA in an amount up to the amount
29 approved by the voters pursuant to subsection C of this section less the
30 amount that the county is already obligated to repay to the water
31 infrastructure finance authority OF ARIZONA pursuant to a financial
32 assistance loan repayment agreement.

33 ~~J.~~ K. For THE purposes of this section[.] [~~—~~]
34 [1. "CLEAN WATER ACT" HAS THE SAME MEANING PRESCRIBED IN SECTION
35 49-1201.]

36 [2.] "Nonpoint source project" has the same meaning ~~as~~ prescribed
37 in section 49-1201.

38 <<Sec. 2. Section 49-1201, Arizona Revised Statutes, is amended to
39 read:

40 49-1201. Definitions

41 In this chapter, unless the context otherwise requires:

42 1. "Authority" means the water infrastructure finance authority of
43 Arizona.

44 2. "Board" means the water infrastructure finance authority board
45 established by section 49-1206.

1 3. "Bonds of a political subdivision" means bonds issued by a
2 political subdivision as authorized by law.

3 4. "Clean water act" means the federal water pollution control act
4 amendments of 1972 (P.L. 92-500; 86 Stat. 816), as amended by the water
5 quality act of 1987 (P.L. 100-4; 101 Stat. 7).

6 5. "Concession agreement" means any lease, ground lease, franchise,
7 easement, permit or other binding agreement transferring rights for the
8 use or control, in whole or in part, of water-related facilities by the
9 authority to a private partner in accordance with this chapter.

10 6. "Drinking water facility":

11 (a) Means a community water system or a nonprofit noncommunity
12 water system as defined in the safe drinking water act of 1974
13 (P.L. 93-523; 88 Stat. 1660; P.L. 95-190; 91 Stat. 1393; P.L. 104-182; 110
14 Stat. 1613) that is located in this state.

15 (b) Does not include water systems owned by federal agencies.

16 7. "Financial assistance loan repayment agreement" means an
17 agreement to repay a loan provided to design, construct, acquire,
18 rehabilitate or improve water or wastewater infrastructure, related
19 property and appurtenances or a loan provided to finance a water supply
20 development project.

21 8. "Imported water" means any water that originates outside of this
22 state and that is made available to water users within this state by
23 conveyance or exchange or otherwise through projects that are funded or
24 financed in whole or in part with monies from the long-term water
25 augmentation fund.

26 9. "Import water" means to make water originating outside of this
27 state available to water users within this state by conveyance or exchange
28 or otherwise through projects that are funded or financed in whole or in
29 part with monies from the long-term water augmentation fund.

30 10. "Indian tribe" means any Indian tribe, band, group or community
31 that is recognized by the United States secretary of the interior and that
32 exercises governmental authority within the limits of any Indian
33 reservation under the jurisdiction of the United States government,
34 notwithstanding the issuance of any patent and including rights-of-way
35 running through the reservation.

36 11. "Long-term water augmentation bonds" means bonds that are
37 issued by the authority in accordance with article 4 of this chapter.

38 12. "Long-term water augmentation fund" means the fund established
39 by section 49-1302.

40 13. "Nonpoint source project" means a project designed to implement
41 a certified water quality management plan [OR THIS STATE'S NONPOINT SOURCE
42 MANAGEMENT PLAN THAT IS DEVELOPED PURSUANT TO SECTION 319 OF THE CLEAN
43 WATER ACT AND APPROVED BY THE UNITED STATES ENVIRONMENTAL PROTECTION
44 AGENCY].

1 14. "Political subdivision" means a county, city, town or special
2 taxing district authorized by law to construct wastewater treatment
3 facilities, drinking water facilities or nonpoint source projects.

4 15. "Private partner" means a person, entity or organization that
5 is not the federal government, this state or a political subdivision of
6 this state.

7 16. "Public-private partnership project" means any water supply
8 development project that is the subject of a public-private partnership
9 agreement in accordance with this chapter.

10 17. "Safe drinking water act" means the federal safe drinking water
11 act of 1974 (P.L. 93-523; 88 Stat. 1660; P.L. 95-190; 91 Stat. 1393;
12 P.L. 104-182; 110 Stat. 1613), as amended in 1996.

13 18. "Technical assistance loan repayment agreement" means either of
14 the following:

15 (a) An agreement to repay a loan provided to develop, plan and
16 design water or wastewater infrastructure, related property and
17 appurtenances. The agreement shall be for a term of not more than three
18 years and the maximum amount that may be borrowed is limited to not more
19 than \$500,000.

20 (b) An agreement to repay a loan provided to develop, plan or
21 design a water supply development project.

22 19. "Wastewater treatment facility" means a treatment works, as
23 defined in section 212 of the clean water act, that is located in this
24 state and that is designed to hold, cleanse or purify or to prevent the
25 discharge of untreated or inadequately treated sewage or other polluted
26 waters for purposes of complying with the clean water act.

27 20. "Water provider" means any of the following:

28 (a) A municipal water delivery system as defined in section
29 42-5301.

30 (b) A county water augmentation authority established under
31 title 45, chapter 11.

32 (c) A county water authority established under title 45,
33 chapter 13.

34 (d) An Indian tribe.

35 (e) A community facilities district as established by title 48,
36 chapter 4.

37 (f) A public water system as prescribed in section 49-352.

38 (g) A county with a population of less than three hundred thousand
39 persons.

40 (h) A natural resource conservation district.

41 (i) For purposes of funding from the water supply development
42 revolving fund pursuant to article 3 of this chapter only, a county that
43 enters into an intergovernmental agreement or other formal written
44 agreement with a city, town or other water provider regarding a water
45 supply development project.

1 21. "Water-related facilities" means any facility related to the
2 production, delivery, conservation or storage of water, including any
3 canals, pipelines, desalination plants, pumping stations, storage
4 projects, recovery wells, delivery and retention projects, water and
5 wastewater treatment plants, and other equipment and facilities installed
6 for water conservation purposes, together with any land, buildings or
7 other improvements and equipment or personal property related thereto.

8 22. "Water supply development" means any of the following:

9 (a) Acquiring water or rights to or contracts for water to augment
10 the water supply of a water provider, including any environmental or other
11 reviews, permits or plans reasonably necessary for that acquisition.

12 (b) Planning, designing, building or developing water-related
13 facilities, including any environmental or other reviews, permits or plans
14 reasonably necessary for those facilities, for any of the following
15 purposes:

16 (i) Conveyance or delivery of water.

17 (ii) Storage or recovery of water under title 45, chapter 3.1.

18 (iii) Reclamation, remediation and reuse of water, including by a
19 reclamation or remediation project that is approved by the United States
20 environmental protection agency and that increases the availability of
21 water.

22 (iv) Replenishment of groundwater.

23 (v) Active or passive stormwater recharge structures that increase
24 water supplies.

25 (c) Conservation through reducing existing water use or more
26 efficient uses of existing water supplies.>>

27 Sec. 3. Section 49-1203, Arizona Revised Statutes, is amended to
28 read:

29 49-1203. Powers and duties of authority; definition

30 A. The authority is a corporate and politic body and shall have an
31 official seal that shall be judicially noticed. The authority may sue and
32 be sued, contract and acquire, hold, operate and dispose of property.
33 Notwithstanding any other law and unless expressly waived by the
34 authority, the authority is not subject to any statutory requirement to
35 pay another party's attorney fees or costs in any administrative or
36 judicial proceeding. The authority is not a public service corporation
37 subject to regulation by the corporation commission.

38 B. The authority, through its board, may:

39 1. Issue negotiable water quality bonds pursuant to section 49-1261
40 for the following purposes:

41 (a) To generate the state match required by the clean water act for
42 the clean water revolving fund and to generate the match required by the
43 safe drinking water act for the drinking water revolving fund.

44 (b) To provide financial assistance to political subdivisions,
45 Indian tribes and eligible drinking water facilities for constructing,

1 acquiring or improving wastewater treatment facilities, drinking water
2 facilities, nonpoint source projects and other related water quality
3 facilities and projects.

4 2. Issue water supply development bonds for the purpose of
5 providing financial assistance to eligible entities for water supply
6 development purposes pursuant to sections 49-1274 and 49-1275.

7 3. Provide financial assistance to political subdivisions and
8 Indian tribes from monies in the clean water revolving fund to finance
9 wastewater treatment projects.

10 4. Provide financial assistance to drinking water facilities from
11 monies in the drinking water revolving fund to finance these facilities.

12 5. Provide financial assistance from monies in the water supply
13 development revolving fund to finance water supply development as
14 prescribed by this article.

15 6. Guarantee debt obligations of, and provide linked deposit
16 guarantees through third-party lenders to:

17 (a) Political subdivisions that are issued to finance wastewater
18 treatment projects.

19 (b) Drinking water facilities that are issued to finance these
20 facilities.

21 7. Provide linked deposit guarantees through third-party lenders to
22 political subdivisions and drinking water facilities.

23 8. Apply for, accept and administer grants and other financial
24 assistance from the United States government and from other public and
25 private sources.

26 9. Enter into capitalization grant agreements with the United
27 States environmental protection agency.

28 10. Adopt rules pursuant to title 41, chapter 6 governing the
29 application for and awarding of wastewater treatment facility, drinking
30 water facility and nonpoint source project financial assistance under this
31 chapter, administering the clean water revolving fund and the drinking
32 water revolving fund and issuing water quality bonds.

33 11. Hire a director who serves at the pleasure of the board and who
34 shall hire staff for the authority. The board may prescribe the terms and
35 conditions of the director's and staff's employment as necessary to carry
36 out the purposes of the authority. The board shall adopt written
37 policies, procedures and guidelines, similar to those adopted by the
38 department of administration, regarding officer and employee compensation,
39 observed holidays, leave and reimbursement of travel expenses. The
40 officers and employees of the authority may participate in the [ARIZONA](#)
41 state retirement system ~~prescribed~~ [ESTABLISHED](#) by title 38, chapter 5,
42 article 2, and the board, consistent with section 38-656, subsection A,
43 may provide that the authority's officers and employees participate in the
44 state employee health, ~~disability~~ and accident insurance prescribed by
45 title 38, chapter 4, article 4. The officers and employees of the

1 authority are exempt from any laws regulating state employment, including
2 the following:

3 (a) Title 41, chapter 4, article 4, relating to the state personnel
4 system.

5 (b) Title 41, chapter 4, articles 5 and 6, relating to state
6 service.

7 12. Contract for or employ the services of outside advisors,
8 attorneys, engineers, financial and other consultants and aides reasonably
9 necessary or desirable to allow the authority to adequately perform its
10 duties.

11 13. Contract and incur obligations as reasonably necessary or
12 desirable within the general scope of authority activities and operations
13 to allow the authority to adequately perform its duties.

14 14. Assess financial assistance origination fees and annual fees to
15 cover the reasonable costs of administering the authority and the monies
16 administered by the authority. Any fees collected pursuant to this
17 paragraph constitute governmental revenue and may be used for any purpose
18 consistent with the mission and objectives of the authority.

19 15. Perform any function of a fund manager under the CERCLA
20 Brownfields cleanup revolving loan fund program as requested by the
21 department. The board shall perform any action authorized under this
22 article on behalf of the Brownfields cleanup revolving loan fund program
23 established pursuant to chapter 2, article 1.1 of this title at the
24 request of the department. In order to perform these functions, the board
25 shall enter into a written agreement with the department.

26 16. Provide grants, staff assistance or technical assistance in the
27 form of loan repayment agreements and other professional assistance to
28 political subdivisions, any county with a population of less than five
29 hundred thousand persons, Indian tribes and community water systems in
30 connection with developing or financing wastewater, drinking water, water
31 reclamation or related water infrastructure. Assistance provided under a
32 technical assistance loan repayment agreement shall be in a form and under
33 terms determined by the authority and shall be repaid not more than three
34 years after the date that the monies are advanced to the applicant.
35 Technical assistance provided by the authority does not create any
36 liability for the authority or this state regarding designing,
37 constructing or operating any infrastructure project.

38 17. Provide grants, staff assistance or technical assistance in the
39 form of loan repayment agreements and other professional assistance in
40 accordance with section 49-1273. Assistance provided under a technical
41 assistance loan repayment agreement shall be repaid not more than three
42 years after the date that the monies are advanced to the applicant.
43 Technical assistance provided by the authority does not create any
44 liability for the authority or this state regarding designing,
45 constructing or operating any water supply development project.

1 18. AWARD FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, FOR
2 THE REMEDIATION, CLOSURE OR REPLACEMENT OF CESSPOOLS PURSUANT TO SECTION
3 11-671, SUBSECTION G.

4 C. The authority may adopt rules pursuant to title 41, chapter 6
5 governing the application for and awarding of assistance under this
6 chapter and the administration of the funds established by this chapter.

7 D. The board shall deposit, pursuant to sections 35-146 and 35-147,
8 any monies received pursuant to subsection B, paragraph 8 of this section
9 in the appropriate fund as prescribed by the grant or other financial
10 assistance agreement.

11 E. The authority is not subject to title 41, chapter 23. In
12 coordination with the department of administration, the authority shall
13 establish procurement procedures by rule to administer the long-term water
14 augmentation fund.

15 F. For the purposes of the safe drinking water act and the clean
16 water act, the department is the state agency with primary responsibility
17 for administering this state's public water system supervision program and
18 water pollution control program and, in consultation with other
19 appropriate state agencies as appropriate, is the lead agency in
20 establishing assistance priorities as prescribed by section 49-1224,
21 subsection B, paragraph 3, section 49-1243, subsection A, paragraph 6 and
22 section 49-1244, subsection B, paragraph 3.

23 G. For the purposes of this section, "CERCLA" has the same meaning
24 prescribed in section 49-201.

25 Sec. 4. Section 49-1204, Arizona Revised Statutes, is amended to
26 read:

27 49-1204. Annual audit and report

28 A. The board shall cause an audit to be made of the funds
29 administered by the authority. The audit shall be conducted by a
30 certified public accountant within one hundred twenty days after the end
31 of the fiscal year. The board shall immediately file a certified copy of
32 the audit with the auditor general.

33 B. The auditor general may make any further audits and examinations
34 as deemed necessary and may take appropriate action relating to the audit
35 or examination pursuant to title 41, chapter 7, article 10.1. If the
36 auditor general takes no official action within twenty days after the
37 audit is filed, the audit is deemed sufficient.

38 C. The board shall pay any fees and costs of the certified public
39 accountant and auditor general under this section from the funds
40 administered by the board.

41 D. Not later than January 1 of each year the board shall make an
42 annual report of its activities, including a copy of the annual audit, to
43 the governor, the president of the senate and the speaker of the house of
44 representatives.

1 E. IN ADDITION TO THE REPORTING REQUIREMENTS OF SUBSECTION D OF
2 THIS SECTION, NOT LATER THAN JANUARY 1 OF EACH YEAR, THE BOARD SHALL MAKE
3 AN ANNUAL REPORT THAT SUMMARIZES FINANCIAL ASSISTANCE, INCLUDING
4 FORGIVABLE PRINCIPAL, AWARDED BY THE BOARD PURSUANT TO SECTION 11-671,
5 SUBSECTION G. THE REPORT SHALL INCLUDE ALL OF THE FOLLOWING:

6 1. THE NUMBER AND LOCATION OF CESSPOOLS THAT HAVE BEEN REMEDIATED
7 OR REPLACED USING FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL.

8 2. THE TOTAL AMOUNT OF FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE
9 PRINCIPAL, THAT WAS AWARDED AND FORGIVEN.

10 3. RECOMMENDATIONS FOR IMPROVING THE ADMINISTRATION OF FINANCIAL
11 ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL, THAT IS AWARDED FOR THE
12 REMEDIATION, CLOSURE OR REPLACEMENT OF CESSPOOLS PURSUANT TO SECTION
13 11-671, SUBSECTION G.

14 Sec. 5. Section 49-1223, Arizona Revised Statutes, is amended to
15 read:

16 49-1223. Clean water revolving fund; purposes; capitalization
17 grants

18 A. Monies in the clean water revolving fund may be used for the
19 following purposes:

20 1. Making wastewater treatment facility and nonpoint source project
21 loans to political subdivisions and Indian tribes under section 49-1225.

22 2. Purchasing or refinancing debt obligations of political
23 subdivisions or refinancing debt obligations of Indian tribes at or below
24 market rates, provided that the debt obligation was issued after March 7,
25 1985 for the purpose of constructing, acquiring or improving wastewater
26 treatment facilities or nonpoint source projects.

27 3. Providing financial assistance to political subdivisions to
28 purchase insurance for local wastewater treatment facility or nonpoint
29 source project bond obligations.

30 4. Paying the costs to administer the fund, but no more than four
31 per cent of the aggregate of federal capitalization grants may be used to
32 pay these costs. Monies from other sources may be used without limit to
33 pay these costs.

34 5. Funding other programs that are authorized for federal monies
35 deposited in the fund including programs relating to nonpoint source
36 discharges.

37 6. Providing linked deposit guarantees through third party lenders
38 by depositing monies with the lender on the condition that the lender make
39 a loan on terms approved by the board, at a rate of return on the deposit
40 approved by the board and the state treasurer and by giving the lender
41 recourse against the deposit of loan repayments that are not made when
42 due.

43 7. FUNDING OF FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL,
44 THAT IS AWARDED PURSUANT TO SECTION 11-671, SUBSECTION G.

1 B. If the monies pledged to secure water quality bonds become
2 insufficient to pay the principal and interest on the water quality bonds
3 that are guaranteed by the clean water revolving fund, the board shall
4 direct the state treasurer to liquidate securities in the fund as may be
5 necessary and apply those proceeds to make current all payments then due
6 on the bonds. The state treasurer shall immediately notify the attorney
7 general and auditor general of the insufficiency. The auditor general
8 shall audit the circumstances surrounding the depletion of the fund and
9 report the findings to the attorney general. The attorney general shall
10 conduct an investigation and report those findings to the governor and the
11 legislature.

12 C. All proceeds of capitalization grants received from the United
13 States pursuant to the clean water act shall be deposited in the
14 capitalization grant transfer account and shall be used solely to provide
15 financial assistance to political subdivisions and Indian tribes to
16 construct, acquire, restore or rebuild wastewater treatment facilities, to
17 purchase bond insurance or for any other purpose permitted by the clean
18 water act including nonpoint source projects. All principal received on
19 loan repayments made by borrowers pursuant to this section shall be
20 deposited in the clean water revolving fund and shall be invested and used
21 to provide additional financial assistance or shall be used to support the
22 administration of the fund subject to the limits prescribed by the clean
23 water act.

24 Sec. 6. Section 49-1243, Arizona Revised Statutes, is amended to
25 read:

26 49-1243. Drinking water revolving fund; purposes;
27 capitalization grants

28 A. Monies in the drinking water revolving fund may be used for the
29 following purposes:

30 1. Making drinking water facility loans, including forgivable
31 principal, to political subdivisions of this state, Indian tribes under
32 section 49-1245 and other eligible entities as determined by the board
33 pursuant to the safe drinking water act.

34 2. Making drinking water facility loans under section 49-1244.

35 3. Purchasing or refinancing debt obligations of drinking water
36 facilities at or below market rate if the debt obligation was issued after
37 July 1, 1993 for the purpose of constructing, acquiring or improving
38 drinking water facilities.

39 4. Providing financial assistance to drinking water facilities to
40 purchase insurance for local drinking water facility bond obligations.

41 5. Paying the costs to administer the fund but not more than four
42 per cent of the aggregate of federal capitalization grants may be used to
43 pay these costs. Monies from other sources may be used without limit to
44 pay these costs.

1 6. Funding other programs that are authorized pursuant to the safe
2 drinking water act.

3 7. Providing linked deposit guarantees through third party lenders
4 by depositing monies with the lender on the condition that the lender make
5 a loan on terms approved by the board, at a rate of return on the deposit
6 approved by the board and the state treasurer and by giving the lender
7 recourse against the deposit of loan repayments that are not made when
8 due.

9 8. FUNDING OF FINANCIAL ASSISTANCE, INCLUDING FORGIVABLE PRINCIPAL,
10 THAT IS AWARDED PURSUANT TO SECTION 11-671, SUBSECTION G.

11 B. If the monies pledged to secure water quality bonds become
12 insufficient to pay the principal and interest on the water quality bonds
13 guaranteed by the drinking water revolving fund, the board shall direct
14 the state treasurer to liquidate securities in the fund as may be
15 necessary and shall apply those proceeds to make current all payments then
16 due on the bonds. The state treasurer shall immediately notify the
17 attorney general and auditor general of the insufficiency. The auditor
18 general shall audit the circumstances surrounding the depletion of the
19 fund and report the findings to the attorney general. The attorney
20 general shall conduct an investigation and report those findings to the
21 governor and the legislature.

22 C. All proceeds of capitalization grants received from the United
23 States pursuant to the safe drinking water act shall be deposited in the
24 capitalization grant transfer account and shall be used solely to make
25 loans to drinking water facilities to construct, acquire, restore or
26 rebuild these facilities, to purchase bond insurance or for any other
27 purpose permitted by the safe drinking water act. All principal received
28 on loan repayments made by borrowers under this section shall be deposited
29 in the drinking water revolving fund and shall be invested, used to
30 provide financial assistance or used to support the administration of the
31 fund subject to the limits defined in the safe drinking water act.

32 Sec. 7. Legislative findings and intent

33 A. The legislature finds and declares that:

34 1. Cesspools have been prohibited for installation in Arizona since
35 1976.

36 2. Thousands of legacy cesspools remain in operation in certain
37 counties and pose a direct and continuing threat to the public health and
38 safety and groundwater quality.

39 3. Remediation of cesspools represents a pressing public health
40 need that is distinct from voluntary septic upgrades or private
41 convenience improvements.

42 4. Current Arizona law limits county eligibility for financial
43 assistance to those counties that operate sewer systems.

1 B. It is therefore the intent of the legislature to do both of the
2 following:

3 1. Authorize all counties to access financial assistance, including
4 forgivable principal, that is administered by the water infrastructure
5 finance authority of Arizona for the sole purpose of remediating or
6 replacing cesspools that pose a verified public health or environmental
7 risk.

8 2. Ensure that this act shall have no financial impact on the state
9 general fund. Financial assistance, including forgivable principal, shall
10 be issued solely from the federally capitalized monies from the clean
11 water revolving fund established by section 49-1221, Arizona Revised
12 Statutes, and the drinking water revolving fund established by section
13 49-1241, Arizona Revised Statutes, that are administered by the water
14 infrastructure finance authority of Arizona.

15 Enroll and engross to conform

16 Amend title to conform

THOMAS "T.J." SHOPE

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